Lease Audit Playbook

A step-by-step method for finding overcharges and missed rights in commercial leases

Lease audits routinely recover between 1% and 3% of annual occupancy cost, mostly from common-area maintenance (CAM), escalation and measurement errors. The method below is the one used in the Advanced Lease Audit Workshop and is designed to be repeated every year without outside help.

1. Build the lease abstract

- Parties, premises, carpet and super area as defined, and the loading factor method
- Term, lock-in, renewal option and notice dates (put them in a calendar the day you finish)
- Rent, escalation formula, security deposit, interest on deposit and any rent-free period
- CAM, power, parking and other charges: basis, caps, audit rights and payment dates
- Repair, restoration and reinstatement obligations at exit

2. Check the areas

1. Obtain the occupancy certificate and the approved plan; confirm the carpet area against a laser survey.
2. Recompute the loading factor with the landlord's stated common areas; compare with RERA norms for new leases.
3. Reconcile billed area to measured area floor by floor, including the parking slots billed.

3. Audit the charges

Charge	What to test	Typical finding
Rent and escalation	Formula applied each anniversary; rounding	Escalation compounded instead of simple
CAM	Landlord-level cost pool, allocation key, markup	Landlord costs and capex included
Power	Sub-meter reads vs billed units, tariff slab, DG recovery	Commercial tariff billed on industrial load
Property tax and insurance	Pass-through only if the lease allows	Tax of other tenants shared
Parking	Count in lease vs billed	Visitor bays billed to tenant

4. Present and recover

Group findings by recoverability: clear errors (credit note requested), contested items (written query with lease references) and policy points for the next negotiation. Always send the landlord a calm, referenced note; most corrections are agreed in one meeting if the evidence is complete.